- However, in the current macroeconomic environment, to achieve this objective, there is need to address sector-specific issues over the mediumto long-term horizon in India.

- There is an *overall shortage of power* in the country both in terms of energy deficit and peak shortage:
  - At present, overall energy deficit is about 8.6 per cent and peak shortage of power is about 9.0 per cent.
  - The 11th Plan added 55,000 MW of generation capacity which was more than twice the capacity added in the 10th Plan.
  - The 12th Plan aims to add another 88, 000 MW.
  - Delivery of this additional capacity would critically depend on resolving *fuel* availability problems, especially when *about half* the generated capacity is expected to come from the private sector.
  - The private developers may not be able to finance the projects if *coal linkages* are not resolved and there are delays in finalization of fuel supply agreements (FSAs).
  - While some decisions have been taken for restructuring Discoms' finances, these may need to be monitored and implemented in spirit.
- Although India has large *coal* reserves, demand for coal is substantially outpacing its domestic availability, with Coal India Ltd. not being able to meet its coal production targets in the 11th Plan:
  - Domestic coal supplies are therefore *not assured* for coal-based power projects planned during the 12th Plan. Thus, it is essential to ensure that domestic production of coal increases from 540 million tonnes in 2011-12 to the target of 795 million tonnes at the end of the 12th Plan.
  - This increase of 255 million tonnes assumes an increase of 64 million tonnes of captive capacity with the rest being met by Coal India Limited.
  - However, even with this increase, there will be a need to import 185 million tonnes of coal in 2016-17 which may further add to